

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Autumn 2020
Module Code	AC2204
Module Title	INTRODUCTION TO MANAGEMENT ACCOUNTING
Paper Number	1
External Examiner	Professor Ivo De Loo
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Dr Margaret Healy
Instructions to Candidates	Answer three questions in total. Please attempt QUESTION ONE from Section A and TWO questions from Section B. Separate Answer books are NOT required.
Duration of Paper	1.5 hours
Special Requirements	Show your workings; marks will be awarded for workings. The use of a non-programmable calculator is permitted.

PLEASE DO NOT TURN THIS PAGE UNTIL INSTRUCTED TO DO SO

THEN ENSURE THAT YOU HAVE THE CORRECT EXAM PAPER

SECTION A: COMPULSORY

QUESTION ONE

Orla O’Gorman has recently set up a business producing eco-friendly T-shirts, to be sold to attendees at major festivals, concerts and sporting events. She has made the following information available to you, based on her initial expectations for the coming financial year.

Sales price per printed T-shirt	€24
Variable expenses per printed T-shirt	€13
Fixed Costs:	
Rental of business start-up unit	€12,000
Depreciation of printing equipment	€3,000
Advertising costs	€2,000
Administration costs	€5,000

Required:

- (A) Calculate the contribution margin ratio and the breakeven point in both units and sales revenue for the business. Prepare a CVP graph for the business, indicating the breakeven point on your graph.
(Note: Graph paper is NOT required).

(20 marks)

- (B) During its first year in operation, the business sold 2,500 T-shirts. Orla is confident that with a more intense sales effort and with a more creative advertising campaign, she can increase sales volume by 30% next year.

- (i) Determine the degree of operating leverage for the business.
- (ii) Explain to Orla what this calculation means and use your answer to advise her on the expected amount of total profit resulting from a 30% increase in sales.

(8 marks)

- (C) “All costs change directly in proportion to increases in the number of units produced”. Discuss this statement, using diagrams to illustrate your answer.

(12 marks)

(Total: 40 marks)

SECTION B
ANSWER ANY TWO QUESTIONS

QUESTION TWO

The following activity levels and associated costs relate to Con's Garage, for 2018:

HIGH:	August	800 cars serviced	Total cost: €24,040
LOW:	November	250 cars serviced	Total cost: €13,700

Required:

- (A) Identify and describe the main differences and similarities between financial accounting and management accounting for the management of Con's Garage.
(10 marks)
- (B) Determine the expected total costs if it is planned to service 400 cars in January 2020, based on the cost formula for 2018. In your answer, state the cost function for 2018.
(10 marks)
- (C) Describe the ABC (activity-based costing) cost hierarchy, listing examples of typical costs relevant to Con's Garage for each level.
(10 marks)

(Total: 30 marks)

QUESTION THREE

Selected data from the operations of Asia Ltd are listed below for the month of July. There was no opening stock of units. During July 6,000 units were produced and 5,400 units were sold. The sales price was €90 per unit.

<u>Variable costs per unit:</u>		<u>Fixed costs:</u>	
Direct materials	€21.00	Manufacturing overhead	€72,000
Direct labour	€30.00	Advertising	€16,500
Manufacturing overheads	€9.50		
Advertising	€5.50		

Required:

- (A) Explain what is meant by the terms 'Variable costing' and 'Absorption costing'. In your answer, state why the operating profits resulting from the use of the two costing methods may differ.
(6 marks)
- (B) Determine the unit product cost and the value of closing stock under absorption costing and under marginal costing.
(6 marks)
- (B) Prepare a profit and loss account for July, using
(i) Absorption costing; (ii) Variable costing.
(18 marks)

(Total: 30 marks)

QUESTION FOUR

Consider each of the following statements. For each statement, state whether you agree or disagree, explaining your answer in each case.

- (A)** Prime cost consists of all direct manufacturing costs and is the same thing as conversion costs.
- (B)** Bright Ltd produces a single product. If total sales are 2,000 units, totalling €19,000; total variable expenses are €7,300 and total fixed costs are €9,360; then break-even point is 1,600 units, the margin of safety is 20% and operating leverage is 5 times.
- (C)** A difference in costs between any two cost alternatives is known as an opportunity cost.
- (D)** Fixed costs per unit decrease as the activity level rises and increase as the activity level falls.
- (E)** The relevant range does not matter in organisational decision-making.

(5 parts * 6 marks each = Total: 30 marks)